

Trader Performance vs Bitcoin Market Sentiment — Analysis Report

Objective: Examine how trader performance on Hyperliquid relates to Bitcoin market sentiment (Fear & Greed Index), and surface insights for smarter trading strategy.

Data: 211,224 trade records merged with daily sentiment classification; 104,402 closed trades (non-zero realized PnL) used for outcome analysis.

Key Findings

- 1. Extreme Greed is the strongest-performing regime.** Average PnL peaks at Extreme Greed (~\$130), with the highest win rate (~89%). Traders are both more profitable and more accurate here than in any other sentiment state.
- 2. Fear is the second-best regime, and traders size up accordingly.** Fear shows the second-highest average PnL (~\$113) and win rate (~87%), and it's also where traders commit the most capital per trade (~\$8,000 avg size) — the largest of any category. This is a reasonable instinct, though not their single best regime.
- 3. Extreme Fear and plain Greed underperform on win rate.** Both sit around 76-77% win rate — the weakest of the five categories. Greed compensates with a moderate average PnL (occasional larger wins), while Extreme Fear does not recover as well, dragged down by some larger tail losses (confirmed by the PnL distribution).
- 4. Neutral sentiment is the least rewarding, but also least volatile.** Lowest average PnL (~\$70) and tightest distribution spread. Calm markets give traders the fewest opportunities to profit.
- 5. A sizing mismatch stands out.** Traders bet the *least* capital (~\$2,800 avg) during Extreme Greed — their best-performing regime — and the *most* capital during Fear, their second-best. This suggests traders may be under-sizing their strongest edge and over-sizing a slightly weaker one.

Strategic Takeaway

Trader performance is not uniform across sentiment states — it's strongest at the emotional extremes (Extreme Greed, Fear) and weakest in calm, Neutral conditions. The data suggests an actionable adjustment: increasing position size during Extreme Greed (where win rate and profitability are both highest) could improve capital efficiency, rather than concentrating size in Fear-driven trades.

Limitations

- Sentiment is merged at daily granularity; intraday sentiment shifts aren't captured.
- Results reflect aggregate behavior across all accounts and coins, not individual trader skill.

- The Fear & Greed Index reflects overall crypto market sentiment, not sentiment specific to the coin being traded.